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Financial Insights Report - Robert Hartley

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This system provides financial guidance and scenario modelling. It does not constitute a personal recommendation or regulated financial advice within the meaning of the Financial Services and Markets Act 2000. Clients should consult a qualified financial adviser before making decisions based on the scenarios presented.

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Executive Summary

Your financial position as a business-owning high-net-worth individual in the UK presents both opportunities and challenges as you prepare for a potential exit from Hartley Precision Components Ltd within the next 1 to 3 years.

Key metrics and considerations include:

- Business Value:** Your company is valued at £8,280,000, based on a 4.5x EBITDA multiple, which aligns with the lower end of industry benchmarks for precision engineering businesses.
- Net Worth:** Your total net worth stands at £18,500,000, with 35.8% concentrated in the business, highlighting a need for diversification post-exit.
- Liquidity:** You currently hold £1,150,000 in liquid cash, which may be insufficient to meet retirement and diversification goals without careful planning.
- Tax Exposure:** With an effective tax rate of 40%, optimizing Business Asset Disposal Relief (BADR) and managing Capital Gains Tax (CGT) on £8,185,000 of total gains will be critical to maximizing after-tax proceeds.
- Exit Timeline:** A short exit timeline of 1 to 3 years necessitates structured planning to enhance valuation, attract competitive buyers, and address owner-dependency risks.

- **Estate Planning:** Post-sale, your estate will face significant Inheritance Tax (IHT) exposure, requiring proactive measures to preserve wealth for your family.

These factors underscore the importance of aligning your exit strategy with personal financial goals, ensuring liquidity for retirement, and addressing tax and estate planning considerations.

Your Story

Your business relies heavily on you, limiting its appeal to buyers.

Hartley Precision Components thrives under your leadership, but its reliance on your direct involvement raises questions for potential buyers. While the business shows strong margins and consistent revenue, the perception of owner-dependency could temper its valuation or deter interest. After two decades of building this, how might you shift its identity from being your business to being a business that stands independently?

Excess retained cash could jeopardize tax relief on the sale.

The profitability of your company has led to a buildup of cash on the balance sheet, but this surplus risks disqualifying the business from the 10% tax rate under Business Asset Disposal Relief. Without a clear strategy for managing these retained earnings, the tax implications could significantly impact the proceeds of your exit. Is there a way to align your financial goals with the rules that preserve this relief?

Inheritance Tax exposure could erode the wealth meant for your family.

Post-sale, the liquid assets from your exit will lose their protection under Business Property Relief, leaving them exposed to significant Inheritance Tax. With no estate planning yet in place, the risk to your family's future grows as your wealth transitions from the business to personal assets. How might you balance supporting your children's housing needs with preserving the legacy you've worked to build?

Most of your wealth is tied up in the business, creating concentration risk.

Nearly all of your financial security is bound to Hartley Precision Components, leaving little room for diversification. A successful exit could unlock the opportunity to spread risk and ensure long-term stability for your family. But as you plan for retirement, how will you reconcile the need for liquidity with the desire to protect and grow your wealth?

Retirement feels uncertain beyond the financials.

You’ve expressed feeling tired after two decades of running the business, yet the path forward remains undefined beyond securing financial independence. With two adult children renting and your focus on helping them with housing, the transition to retirement at 58 could bring questions about purpose, structure, and fulfillment. What will life look like when the business no longer shapes your days?

Some concerns are inferred from patterns in your data.

Core Business & Market Benchmarks

Your business, Hartley Precision Components Ltd, operates in the precision engineering and manufacturing sector, generating £9,200,000 in annual turnover with an EBITDA of £1,840,000. The current valuation of £8,280,000 reflects a 4.5x EBITDA multiple, which is at the lower end of the 4.5x-6.5x range typical for precision machining businesses in the UK.

Recent market trends, such as increased M&A activity in aerospace and automotive components, suggest potential opportunities to attract strategic buyers or private equity firms. However, the limited pool of trade buyers in your sector and the business's reliance on your personal involvement may constrain valuation. Addressing these factors could position your company more competitively within the market.

As shown in the Exit Strategy Analysis table below, aligning your valuation with the upper end of industry benchmarks could increase the economic value transferred to you upon exit.

Risk, Governance & Resilience

Your business faces several risks that could impact its valuation and attractiveness to buyers:

- **Concentration Risk:** With 35.8% of your net worth tied to the business, a successful exit is critical to reducing this exposure and achieving diversification.
- **Owner Dependence:** The business is heavily reliant on your hands-on involvement, which may deter buyers or reduce valuation. Strengthening the management team and delegating responsibilities could mitigate this risk.
- **Operational Vulnerabilities:** While the business is profitable, its reliance on retained cash and limited diversification in customer contracts could pose challenges during due diligence.

The Concentration Risk Analysis table below highlights the need to reduce reliance on the business as a primary asset, while the Post-exit portfolio allocation table below illustrates potential diversification scenarios.

Liquidity & Concentration Risk

Your current liquidity position includes £1,150,000 in liquid cash, which represents a small portion of your overall net worth. This limited liquidity, combined with a £195,000 annual retirement lifestyle cost, underscores the importance of ensuring sufficient post-sale funds to meet both immediate and long-term needs.

The Concentration Risk Analysis table below shows that divesting your business could significantly reduce wealth concentration, while the Post-exit portfolio allocation table below outlines potential asset allocation strategies to balance liquidity, growth, and risk.

Ensuring that your post-sale portfolio includes a mix of liquid and income-generating assets will be essential to maintaining financial security and funding your retirement lifestyle.

Exit & Valuation Planning

Maximizing the valuation of Hartley Precision Components Ltd within your 1 to 3-year exit timeline will require a structured approach:

- Valuation Enhancement:** Aligning your company valuation with the upper end of the 4.5x-6.5x EBITDA range could increase proceeds. This may involve improving operational efficiency, diversifying customer contracts, and addressing owner-dependency risks.
- Competitive Tension:** Attracting both trade buyers and private equity firms could create competitive tension, potentially driving up the sale price. Strategic buyers in aerospace and automotive sectors, as well as private equity firms focused on scalable operations, are likely candidates.
- Transaction Structuring:** Ensuring eligibility for BADR will reduce CGT to 10% on qualifying gains, as shown in the Tax Optimisation Strategies table below. Managing retained cash on the balance sheet will be critical to maintaining trading company status.

The Exit Strategy Analysis table below provides a detailed comparison of potential exit scenarios, including valuation ranges and post-tax proceeds.

Tax & Estate Planning

Your effective tax rate of 40% and significant IHT exposure on an £18,500,000 estate highlight the need for proactive tax and estate planning:

- **Capital Gains Tax (CGT):** Optimizing BADR eligibility could reduce CGT on £8,185,000 of gains to 10%, resulting in substantial tax savings. Managing excess retained cash on the balance sheet will be essential to maintaining trading company status.
- **Inheritance Tax (IHT):** Post-sale, your estate will no longer benefit from Business Property Relief, exposing liquid assets to IHT at 40%. Strategies such as trusts, gifting, and pensions could mitigate this exposure.
- **Family Support:** Structured gifting or the use of trusts could enable you to support your children with housing deposits while minimizing tax liabilities.

The Tax Optimisation Strategies table below illustrates the potential impact of various tax planning measures, while the Post-Exit IHT Planning table below highlights opportunities to reduce IHT exposure through lifetime gifting.

What to Discuss With Your Adviser

These are the must-know topics for your next conversation (priority order, maximum five):

- Business heavily reliant on owner, reducing appeal to buyers and valuation potential — your business is heavily dependent on your hands-on involvement, which could deter buyers or reduce its value. Addressing owner-dependency now - by delegating k....
- Excess retained cash on balance sheet risks BADR eligibility — the retained cash sitting on your balance sheet, while a result of profitability, could jeopardize your Business Asset Disposal Relief (BADR) eligibility. Ensur....
- Significant IHT exposure on post-sale assets without proper estate planning — after the sale, the business will no longer benefit from Business Property Relief, leaving your estate exposed to substantial Inheritance Tax (IHT) liabilities.....
- Concentration risk with wealth tied predominantly to the business — the majority of your wealth is tied up in the business, creating a significant concentration risk. A successful exit will provide an opportunity to diversify yo....
- Emotional uncertainty about retirement and life after the sale — while you're clearly focused on the financial aspects of an exit, there appears to be some uncertainty about what life will look like after the sale. Retirement....

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Tax treatment depends on individual circumstances and may be subject to change in future. The levels and bases of taxation may change. Tax reliefs referred to are those applying under current legislation, which may change.

These scenarios are illustrative only and depend on assumptions that may not materialise. They do not represent forecasts or guarantees. Tax rules, rates, and reliefs are subject to change by legislation and may differ based on individual circumstances. HMRC practice and interpretation may also change.



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Exit Strategy Analysis

Compare Exit Scenarios With UK Valuation Ranges, CGT, And BADR Implications

Exit Scenario	Valuation Multiple	Valuation	After Tax Proceeds	CGT Liability	Deferred CGT Gain	Recipient Base Cost	Economic Value Transferred	BADR Savings	BADR Status	Post-Exit Concentration %
Trade Sale	80%	£6,624,000	£4,150,912	1,148,288	0	£0	4,150,912	£100,000	Eligible	74.10%
Trade Sale	100%	£8,280,000	£5,157,760	1,466,240	0	£0	5,157,760	£100,000	Eligible	69.70%
Trade Sale	120%	£9,936,000	£6,164,608	1,784,192	0	£0	6,164,608	£100,000	Eligible	65.80%
Management Buyout (MBO)	80%	£5,630,400	£3,546,803	957,516.80	0	£0	3,546,803.20	£100,000	Eligible	77.00%
Management Buyout (MBO)	100%	£7,038,000	£4,402,624	1,227,776	0	£0	4,402,624	£100,000	Eligible	73.00%
Management Buyout (MBO)	120%	£8,445,600	£5,258,445	1,498,035.20	0	£0	5,258,444.80	£100,000	Eligible	69.30%
Family Succession	80%	£4,968,000	£0	0	3,879,400	£3,974,400	3,974,400	£0	Hold-over (Deferred)	0.00%
Family Succession	100%	£6,210,000	£0	0	4,873,000	£4,968,000	4,968,000	£0	Hold-over (Deferred)	0.00%
Family Succession	120%	£7,452,000	£0	0	5,866,600	£5,961,600	5,961,600	£0	Hold-over (Deferred)	0.00%
Earn-Out	80%	£7,617,600	£4,755,021	1,339,059.20	0	£0	4,755,020.80	£100,000	Eligible	71.40%
Earn-Out	100%	£9,522,000	£5,912,896	1,704,704	0	£0	5,912,896	£100,000	Eligible	66.80%
Earn-Out	120%	£11,426,400	£7,070,771	2,070,348.80	0	£0	7,070,771.20	£100,000	Eligible	62.70%

Tax Optimisation Strategies

Compare UK Tax Strategies (BADR / EIS / Pension) Across Regulatory Scenarios

Strategy	Tax Scenario	Tax Liability	Net Proceeds	Effective Tax Rate
BADR Only	2025/26 Rates	1,466,240	£5,157,760	22.50
BADR Only	2026/27 Rates	1,506,240	£5,117,760	23.10
BADR Only	BADR Abolished	1,566,240	£5,057,760	24
BADR + EIS Reinvestment	2025/26 Rates	1,454,240	£5,169,760	22.30
BADR + EIS Reinvestment	2026/27 Rates	1,494,240	£5,129,760	22.90
BADR + EIS Reinvestment	BADR Abolished	1,554,240	£5,069,760	23.80
BADR + Pension Contribution	2025/26 Rates	1,466,240	£5,157,760	22.50
BADR + Pension Contribution	2026/27 Rates	1,506,240	£5,117,760	23.10
BADR + Pension Contribution	BADR Abolished	1,566,240	£5,057,760	24

Post-Exit Portfolio Allocation

Portfolio Construction Scenarios With UK-Appropriate Asset Classes, Expected Returns, And Risk Metrics

Asset Class	Allocation Style	Allocation Percent	Amount	Expected Return	Volatility
Public Equity	Conservative	25.00%	£4,625,000	8	15
Private Equity	Conservative	5.00%	£925,000	13	28
Fixed Income	Conservative	35.00%	£6,475,000	4	5
Real Estate	Conservative	20.00%	£3,700,000	7	12
Business Assets	Conservative	10.00%	£1,850,000	12	30
Cash	Conservative	5.00%	£925,000	2	1
PORTFOLIO TOTAL	Conservative	100.00%	£18,500,000	6.80	0
Public Equity	Moderate	30.00%	£5,550,000	8	15
Private Equity	Moderate	15.00%	£2,775,000	13	28
Fixed Income	Moderate	20.00%	£3,700,000	4	5
Real Estate	Moderate	20.00%	£3,700,000	7	12
Business Assets	Moderate	10.00%	£1,850,000	12	30
Cash	Moderate	5.00%	£925,000	2	1
PORTFOLIO TOTAL	Moderate	100.00%	£18,500,000	7.80	0
Public Equity	Aggressive	25.00%	£4,625,000	8	15
Private Equity	Aggressive	25.00%	£4,625,000	13	28
Fixed Income	Aggressive	10.00%	£1,850,000	4	5
Real Estate	Aggressive	20.00%	£3,700,000	7	12
Business Assets	Aggressive	15.00%	£2,775,000	12	30
Cash	Aggressive	5.00%	£925,000	2	1
PORTFOLIO TOTAL	Aggressive	100.00%	£18,500,000	9	0
Public Equity	Re-Entrepreneur	20.00%	£3,700,000	8	15
Private Equity	Re-Entrepreneur	20.00%	£3,700,000	13	28
Fixed Income	Re-Entrepreneur	10.00%	£1,850,000	4	5
Real Estate	Re-Entrepreneur	15.00%	£2,775,000	7	12
Business Assets	Re-Entrepreneur	30.00%	£5,550,000	12	30
Cash	Re-Entrepreneur	5.00%	£925,000	2	1
PORTFOLIO TOTAL	Re-Entrepreneur	100.00%	£18,500,000	9.40	0

Concentration Risk Analysis

Track Business Concentration Risk Reduction Over Time With Different UK Divestment Strategies

Timeframe	Strategy	Diversified Amount	Remaining Concentration	Concentration Percent
Current	Gradual Sale	£0	6624000.00	35.80%
Year 1	Gradual Sale	£529,920	6094080.00	32.90%
Year 2	Gradual Sale	£1,017,446	5606554.00	30.30%
Year 3	Gradual Sale	£1,465,971	5158029.00	27.90%
Year 4	Gradual Sale	£1,878,613	4745387.00	25.70%
Year 5	Gradual Sale	£2,258,244	4365756.00	23.60%
Current	Staged Secondary Sale	£0	6624000.00	35.80%
Year 1	Staged Secondary Sale	£993,600	5630400.00	30.40%
Year 2	Staged Secondary Sale	£1,838,160	4785840.00	25.90%
Year 3	Staged Secondary Sale	£2,556,036	4067964.00	22.00%
Year 4	Staged Secondary Sale	£3,166,231	3457769.00	18.70%
Year 5	Staged Secondary Sale	£3,684,896	2939104.00	15.90%
Current	Accelerated Divestment	£0	6624000.00	35.80%
Year 1	Accelerated Divestment	£1,656,000	4968000.00	26.90%
Year 2	Accelerated Divestment	£2,898,000	3726000.00	20.10%
Year 3	Accelerated Divestment	£3,829,500	2794500.00	15.10%
Year 4	Accelerated Divestment	£4,528,125	2095875.00	11.30%
Year 5	Accelerated Divestment	£5,052,094	1571906.00	8.50%

Cash Flow Planning

Project Liquidity Needs, Available Cash, And Funding Gaps Over Time

Year	Funding Need	Required Amount	Lifestyle Amount	Available Cash	Funding Gap
2026	Lifestyle	£443,000	£195,000	£6,307,760	Surplus: £5,864,760
2027	Lifestyle	£446,900	£198,900	£6,306,303	Surplus: £5,859,403.2
2028	Lifestyle	£450,878	£202,878	£6,300,844	Surplus: £5,849,966.42
2029	Lifestyle	£454,936	£206,936	£6,291,026	Surplus: £5,836,089.97
2030	Lifestyle	£459,074	£211,074	£6,276,462	Surplus: £5,817,387.49
2031	Lifestyle	£463,296	£215,296	£6,256,740	Surplus: £5,793,444.06

Post-Exit IHT Planning

Post-Exit Inheritance Tax Gifting Overlays — Separate From CGT At-Exit Strategies (R-01 Table 2)

Strategy	Time Horizon	Estate Value Removed	IHT Potentially Saved
Annual IHT Exemption	Immediate (per tax year)	3,000	1,200
Normal Expenditure out of Income	Recurring (annual)	200,000	80,000
Potentially Exempt Transfer (PET)	7-year survival horizon	515,776	206,310.40